(ii) ***Implied:*** The contracts are also discharged by implied consent, different modes of discharge by implied consent are mentioned below

(a) Novation, (b) Alteration,

(c) Recession, (d) Remission,

(e) Accord and Satisfaction,

(f) Waiver and (g) Merger

3. By Impossibility of Performance

A contract may be discharged if its performance becomes impossible. The rule of impossibility of performance is based on the following maxims

i) the law does not recognize what is impossible and

ii) what is impossible does not create an obligation.

According to the Section 56 of the Act, all acts to do impossible acts are void. There are two types of impossibility of performance such as –

i) Impossibility existing at the time of agreement.

ii) Impossibility arising subsequent to the formation of contract.

On the other hand, impossibility of performance existing at the time of performance of a contract may be either

(a) known to the parties or (b) not known to the parties.

Likewise impossibility arising subsequent to the formation of a contract or supervening impossibility may be

a) By some event beyond the control of the parties or

b) By some act either of the promisor or of the promisee.

4. By Lapse of Time

According to the Limitation Act, 1963 a contract must be performed within a specified time. If it is not performed within this specified time limit and against which if no action is taken by the promisee in the Court of Law within specified time, then the promisee is deprived of his remedy at law. In such cases, the contract is discharged.

5. By Operation of Law:

A contract can be discharged by the operation of law. The operation of law by which contract can be discharged are as follows

i) By Death: If the contracts depend on the personal skill or ability, then such contract may be discharged on the death of the promisor

ii) By Merger: Merger will take place when an inferior right accruing to the same party either under the same or another contract.

iii) By Insolvency: An insolvent is discharged from all liabilities incurred prior to his adjudication.

iv) Unauthorized Alteration of the Terms of a Contract: If one party makes any material alteration in the contract without the consent of the other party, then the other party can avoid the contract.

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